Telesat Canada

Notes to the 2019 Consolidated Financial Statements - (Continued)
(all amounts in thousands of Canadian dollars, except where otherwise noted)

30. EMPLOYEE BENEFIT PLANS (cont.)

The fair value of the plan assets were allocated as follows between the various types of investments:

As at December 31,	2019	2018
Equity securities		
Canada	22.3%	20.8%
United States	19.8%	12.7%
International (other than United States)	14.1%	18.1%
Fixed income instruments		
Canada	41.2%	45.7%
Cash and cash equivalents		
Canada	2.6%	2.7%

Plan assets are valued at the measurement date of December 31 each year.

The investments are made in accordance with the Statement of Investment Policies and Procedures. The Statement of Investment Policies and Procedures is reviewed on an annual basis by the Management Level Pension Fund Investment Committee with approval of the policy being provided by the Audit Committee.

The following are the significant assumptions adopted in measuring the Company's pension and other benefit obligations:

As at December 31,	Pension 2019	Other 2019	Pension 2018	Other 2018
Actuarial benefit obligation				
Discount rate	3.20%	2.95% to 3.20%	3.80%	3.80% to 4.00%
Benefit costs for the year ended				
Discount rate	3.90%	3.90% to 4.00%	3.60%	3.25% to 3.60%
Future salary growth	2.50%	N/A	2.50%	N/A
Health care cost trend rate	N/A	3.49% to 5.49%	N/A	4.50%
Other medical trend rates	N/A	4.00% to 4.56%	N/A	4.50%

For certain Canadian post-retirement plans the above trend rates are applicable for 2019 to 2024 which will increase linearly to 4.75% in 2029 and grading down to an ultimate rate of 3.57% per annum in 2040 and thereafter.

Sensitivity of assumptions

The calculation of the defined benefit obligation is sensitive to the assumptions set out above. The following table summarizes how the impact on the defined benefit obligation as at December 31, 2019 and 2018 would have increased or decreased as a result of the change in the respective assumptions by one percent.

	Pension		Other	
As at December 31, 2019	1% increase	1% decrease	1% increase	1% decrease
Discount rate	$ (45,385)	$ 57,745	$ (2,751)	$ 3,576
Future salary growth	$ 9,856	$ (8,874)	N/A	N/A
Medical and dental trend rates	N/A	N/A	$ 2,018	$ (1,531)